NOTE G – INCOME TAXES

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes using the enacted tax rates in effect in the years in which the differences are expected to reverse.

The Company's deferred income taxes are comprised of the following:

	November 30, 2014	November 30, 2013
Deferred Tax Assets		
Net operating loss	$ 4,366,694	$ 4,513,780
Allowance for bad debts	29,317	19,337
Inventory	120,219	233,793
Deferred Rent	16,201	14,320
Depreciation	170,131	180,681
Total deferred tax assets	4,702,562	4,961,911
Valuation allowance	(3,519,069)	(3,505,304)
Deferred Tax Assets	$ 1,183,493	$ 1,456,607

The valuation allowance for the deferred tax assets relates principally to the uncertainty of the utilization of deferred tax assets and was calculated in accordance with the provisions of ASC 740, which requires that a valuation allowance be established or maintained when it is "more likely than not" that all or a portion of deferred tax assets will not be realized. The valuation allowance increased by approximately $14,000 during the year ended November 30, 2014. This valuation is based on management estimates of future taxable income. Although the degree of variability inherent in the estimates of future taxable income is significant and subject to change in the near term, management believes, that the estimate is adequate. The estimated valuation allowance is continually reviewed and as adjustments to the allowance become necessary, such adjustments are reflected in the current operations.

NOTE G – INCOME TAXES (CONTINUED)

The Company's income tax expense consists of the following:

	Years Ended	
	November 30, 2014	November 30, 2013
Current:		
Federal	$ -	$ 29,908
States	6,035	23,337
	6,035	53,245
Deferred:		
Federal	215,760	74,441
States	57,354	19,788
	273,114	94,229
Provision for income taxes	$ 279,149	$ 147,474

The Company files a consolidated income tax return with its wholly-owned subsidiaries and has net operating loss carryforwards of approximately $11,000,000 for federal and state purposes, which expire through 2020. A reconciliation of the difference between the expected income tax rate using the statutory federal tax rate and the Company's effective rate is as follows:

	Years ended	
	November 30, 2014	November 30, 2013
U.S Federal Income tax statutory rate	34%	34%
Valuation allowance	2%	(25)%
State income taxes	3%	2%
Other	-	-
Effective tax rate	39%	11%